Annual Report 2023

Microsoft

FINANCIAL STATEMENTS AND SUPPLEMENTARY DATA

INCOME STATEMENTS

(In millions, except per share amounts)

Year Ended June 30,	**2023**	**2022**	**2021**
Revenue:			
Product	**$ 64,699**	$ 72,732	$ 71,074
Service and other	**147,216**	125,538	97,014
Total revenue	**211,915**	198,270	168,088
Cost of revenue:			
Product	**17,804**	19,064	18,219
Service and other	**48,059**	43,586	34,013
Total cost of revenue	**65,863**	62,650	52,232
Gross margin	**146,052**	135,620	115,856
Research and development	**27,195**	24,512	20,716
Sales and marketing	**22,759**	21,825	20,117
General and administrative	**7,575**	5,900	5,107
Operating income	**88,523**	83,383	69,916
Other income, net	**788**	333	1,186
Income before income taxes	**89,311**	83,716	71,102
Provision for income taxes	**16,950**	10,978	9,831
Net income	**$ 72,361**	$ 72,738	$ 61,271
Earnings per share:			
Basic	**$ 9.72**	$ 9.70	$ 8.12
Diluted	**$ 9.68**	$ 9.65	$ 8.05
Weighted average shares outstanding:			
Basic	**7,446**	7,496	7,547
Diluted	**7,472**	7,540	7,608

Refer to accompanying notes.

BALANCE SHEETS

(In millions)

June 30,		**2023**		**2022**
Assets				
Current assets:				
Cash and cash equivalents	**$**	**34,704**	$	13,931
Short-term investments		**76,558**		90,826
Total cash, cash equivalents, and short-term investments		**111,262**		104,757
Accounts receivable, net of allowance for doubtful accounts of **$716*** and $710*		**48,688**		44,261
Inventories		**2,500**		3,742
Other current assets		**21,807**		16,924
Total current assets		**184,257**		169,684
Property and equipment, net of accumulated depreciation of **$68,251** and $59,660		**95,641**		74,398
Operating lease right-of-use assets		**14,346**		13,148
Equity investments		**9,879**		6,891
Goodwill		**67,886**		67,524
Intangible assets, net		**9,366**		11,298
Other long-term assets		**30,601**		21,897
Total assets	**$**	**411,976**	$	364,840
Liabilities and stockholders' equity				
Current liabilities:				
Accounts payable	**$**	**18,095**	$	19,000
Current portion of long-term debt		**5,247**		2,749
Accrued compensation		**11,009**		10,661
Short-term income taxes		**4,152**		4,067
Short-term unearned revenue		**50,901**		45,538
Other current liabilities		**14,745**		13,067
Total current liabilities		**104,149**		95,082
Long-term debt		**41,990**		47,032
Long-term income taxes		**25,560**		26,069
Long-term unearned revenue		**2,912**		2,870
Deferred income taxes		**433**		230
Operating lease liabilities		**12,728**		11,489
Other long-term liabilities		**17,981**		15,526
Total liabilities		**205,753**		198,298
Commitments and contingencies				
Stockholders' equity:				
Common stock and paid-in capital – shares authorized 24,000; outstanding **7,432** and 7,464		**93,718**		86,939
Retained earnings		**118,848**		84,281
Accumulated other comprehensive loss		**(6,343)**		(4,678)
Total stockholders' equity		**206,223**		166,542
Total liabilities and stockholders' equity	**$**	**411,976**	$	364,840

Refer to accompanying notes.

**Modified for ease of exposition in class*

The allowance for doubtful accounts reflects our best estimate of probable losses inherent in the accounts receivable balance. We determine the allowance based on known troubled accounts, historical experience, and other currently available evidence.

Activity in the allowance for doubtful accounts was as follows:

(In millions)

Year Ended June 30,	**2023**	**2022**	**2021**
Balance, beginning of period	**$ 710**	$ 798	$ 816
Charged to costs and other	**258**	157	234
Write-offs	**(252)**	(245)	(252)
Balance, end of period	**$ 716**	$ 710	$ 798